# HEDGEYE DAILY DIGEST

Wednesday, 9 September 2026 (GMT+8) · Covering the Tuesday 8 September US session

*Keith McCullough flipped the book **net short US equities** — Real-Time Alerts moved to **2 longs vs. 6 shorts**, down from roughly **12 longs vs. 1 short** at the highs — as oil ripped to new three-month inflation-cycle highs and bond yields confirmed bullish TRADE and TREND. **WTI is up 23% in a month**, the **CRB Index +11.5%**, and **copper is printing all-time highs**, while the **Russell 2000 is down 2%** and Signal Strength breadth has compressed to **62 longs vs. 62 shorts** from roughly 90/40 at the prior all-time high. Everything now hinges on **Friday's CPI print**, where Hedgeye's Nowcast sits at the high end of the Street.*

## TODAY'S PUBLICATIONS

*Tuesday 8 September US session · GMT+8 evening 8 Sep – early hours 9 Sep*

### EARLY LOOK — “Oil, Rates, Inflation #Accelerating”

Early Look · Keith McCullough · 09/08 07:31 EDT (19:31 GMT+8)

**Quad positioning: Global #Quad3 / US #Quad2** — commodities firmly in **Global Quad 3**, with the US shifting toward back-to-back monthly **#Quad2s** on a rising inflation Nowcast.

McCullough opens with a Barstool analogy — Big Cat and PFT building the number one sports podcast by going direct rather than chasing ESPN validation — and maps it onto Hedgeye's own decision to build **HedgeyeTV** instead of appearing on **CNBC** and **Fox Business**. The macro content beneath the framing is unambiguous: **oil is ripping new three-month Inflation Cycle Highs**, **bond yields are confirming Bullish TRADE and TREND Signals** (higher for longer), and **small caps are starting to suck**.

The **commodity complex** is doing the heavy lifting. The **CRB Commodities Index inflated another +2.5%** last week to **+11.5% over the last month**. **Oil (WTI) inflated +9.7%** last week to **+23.0% in a month**. **Copper** added **+0.4%** and is **inflating to all-time highs**. **Natural Gas** rose **+3.0%** to **+10.9%** in a month. Hedgeye is long the expression: **Oil Services (OIH)**, **Copper Miners (ICOP)** and **Natural Gas (UNG)**.

**Currencies** are reinforcing the setup. The **US Dollar Index resumed its Bearish TRADE and TREND**, down **-0.5% week-over-week**. The **Japanese Yen surged +2.4%** and is **back to Bullish TREND**. **EUR/USD (-0.1%)** and **GBP/USD (-0.4%)** both moved to **Neutral**. The **Canadian Dollar (+0.3%)** and **Colombian Peso (+2.5%)** remain **Bullish TREND** — the Peso carrying an **epic three-month TRENDING return of +13.9%**, which is why Hedgeye stays long **Colombia (COLO)**.

The other side of the ledger is where the alpha has been. The **UST 2yr Yield** rose **+2bps** last week to **+17bps** in a month; the **UST 10yr Yield** rose **+5bps** to **+16bps**. That has made **Treasuries (TLT, ZROZ)** and **Investment Grade Credit (LQD)** among Hedgeye's best global macro shorts of the last month, and McCullough **re-loaded the short side of Utilities (XLU) on Friday's bounce**. Meanwhile the **Russell 2000 was only +0.1%** last week and is **down -2.0% in a month**, with **Small Cap Factor Exposure in the S&P 500 down -1.7%** versus **Large Cap +0.3%**.

**Investment implication:** the currency and commodity signals are perpetuating **higher-for-longer bond yields** and **new cycle highs in interest rates**. In that environment small-cap illiquidity is the wrong place to be. The open question McCullough poses himself is whether the fixed income shorts keep printing alpha through **Friday's CPI print**, where Hedgeye's Nowcast is **Street High.**

### Risk Range™ Signals — 8 September 2026

| Asset | Risk Range | TREND |
|---|---|---|
| 10-Year US Treasury Yield (UST10Y) | 4.70 – 4.87 | Bullish |
| High Yield (HYG) | 78.90 – 79.47 | Bullish |
| Investment Grade Corp Bond ETF (LQD) | 104.7 – 106.1 | Bearish |
| S&P 500 (SPX) | 7615 – 7772 | Bullish |
| NASDAQ Composite (COMPQ) | 25917 – 26709 | Bullish |
| Russell 2000 (RUT) | 2912 – 3014 | Neutral |
| Health Care (XLV) | 168 – 176 | Bullish |
| Expanded Tech-Software (IGV) | 99 – 112 | Bullish |
| Oil Services (OIH) | 412 – 444 | Bullish |
| Volatility Index (VIX) | 13.78 – 16.31 | Bearish |
| US Dollar Index (USD) | 98.60 – 99.67 | Bearish |
| Light Crude Oil (WTIC) | 85.75 – 96.62 | Bullish |
| Natural Gas (NATGAS) | 2.84 – 3.03 | Bullish |
| Gold Spot (GOLD) | 4274 – 4646 | Bullish |
| Copper Spot (COPPER) | 6.51 – 6.75 | Bullish |
| Silver Spot (SILVER) | 63 – 68 | Neutral |

**Notable range changes vs. Friday 4 Sep:** the **Russell 2000 downgraded from Bullish to Neutral TREND**; the **UST10Y range shifted up** from **4.63–4.84** to **4.70–4.87**; the **WTI range lifted** from **84.74–94.63** to **85.75–96.62**; **Copper** lifted from **6.40–6.71** to **6.51–6.75**; **Gold's** range **compressed lower** from **4296–4691** to **4274–4646**.

## MOMO TRACKER — Mag7 (-1.4%), High Beta Momo (+4.4%), TSLA=BEARISH

Momentum Stock Tracker · Christian Drake, Ryan Ricci · 09/08 08:18 EDT (20:18 GMT+8)

The momentum dashboard showed the **Mag7 down -1.4%** while the **High Beta Momentum basket rose +4.4%** — a divergence consistent with the factor rotation Hedgeye has been pressing. **Tesla (TSLA) flipped to BEARISH**, a reversal from Friday when **SNOW, TSLA and META were all signalled BULLISH**. The note flags **net short positioning and factor shifts** as the day's headline, corroborating the equity-book de-risking described on The Macro Show. (Body is a chart dashboard; summarised from headline signals and accompanying commentary.)

## THE MACRO SHOW — Summary Notes, Tuesday 8 September

The Macro Show · Keith McCullough & Daryl Jones · 09/08 10:14 EDT (22:14 GMT+8)

**The most important positioning change occurred Friday.** McCullough began selling into weakness and moved **Real-Time Alerts to 2 longs and 6 shorts**, making the setup **net short**. Earlier in the advance the balance had been roughly **12 longs versus one short**. He framed the change as a response to **lower highs, weakening breadth and rising rate risk** rather than a bearish narrative, noting the **S&P 500 was coming off the top end of its Risk Range while signalling a lower high** — his textbook reason to sell and book gains. The two surviving longs are both **consumer staples**, including **J.M. Smucker (SJM)**; he described the remaining long exposure as essentially “PB&J and ice cream.”

**Oil remains the leading macro signal.** The Alpha Code was **85/83** — above **$85 WTI** is continued upward trade momentum, **$83** the trend level. With **WTI around $92**, the medium-term upside Risk Range extends toward roughly **$96**. Commodity longs are **OIH, ICOP, WEAT** and **natural gas**, with wheat bought late the prior week. He characterised the tape as **broadening in commodities but narrowing in equities**, with the only three US sector exposures he still likes being **Energy, Health Care and Software**.

**On rates**, the signalling process points to **higher cycle highs in both the 2-year and 10-year**, with top-end Risk Ranges of roughly **4.50% on the 2yr** and **4.87% on the 10yr**. He remains **short duration, short investment grade credit and short utilities — XLU is now his largest short** after Friday's bounce. Importantly, he flagged that reaching the **top end of the bond-yield Risk Range would be a place to cover some bond shorts**: the position is signal-dependent, not permanent.

**Gold and Silver were cut.** He **sold all Silver** and **reduced Gold back to minimum position size**, citing the renewed acceleration in bond yields and the inflation setup into Friday's CPI. He was explicit that this is a **signal-based adjustment, not a change of long-term view**.

**On CPI**, Hedgeye sits at the **high end of expectations**. McCullough estimates every **$1 increase in oil adds roughly 3–4 basis points to inflation**. With oil moving from roughly **$87 to $94**, that implies another **~20bps** to the inflation outlook, potentially pushing future CPI estimates toward **3.7%–3.8%** and back toward **4%**. The key test is whether **bond yields stop rising once the data arrives**.

**Small caps have been removed.** The bottom **25% by market cap in the S&P 500 fell roughly 1.7%** while the top **25% gained ~0.3%**; the **Russell 2000 fell ~2%**. Hedgeye is **no longer long the Russell 2000** or its broader former small-cap exposure, with rising rate risk for smaller companies that lack large-cap credit access the stated cause. **Signal Strength breadth has compressed to 62 longs vs. 62 shorts**, versus roughly **90 longs and 40 shorts** near the prior all-time high.

**Globally**, he stays **long Colombia** on currency and geopolitical grounds, added **Spain (EWP)** to the buy-on-a-pullback list, and noted **Japan has shifted into bearish trade and trend** alongside the **yen breakout** — he is **short SoftBank (SFTBY)**. **Semiconductors returned to neutral**; **South Korea** exposure is not needed. New bearish names mentioned include **Ryder System (R)** and **SAIC**.

## CAPITAL ALLOCATION PRO — Model Portfolio Changes, effective 9/8/2026

Capital Allocation Pro · Robert McGroarty, Andrew Nanai, David Salem · 09/08 13:25 EDT (01:25 GMT+8, 9 Sep)

Changes to the **Model Portfolios** went into effect using **closing prices on Tuesday, 8 September 2026**. The note also confirms **Trend and Tail levels for the 68 ETFs** were refreshed using **closing prices on Friday, 28 August**, and flags a **ticker substitution** — the dashboard now tracks the **BNO** commodity ticker for **Brent Crude** to improve dashboard usability. The **September Monthly Commentary** was published **2 September**.

## SIGNAL STRENGTH STOCKS — 61 Stocks (2 Added, 3 Removed)

Signal Strength Stocks · 09/08 11:43 EDT (23:43 GMT+8)

**Added: PUBM, MGNI** (both ad-tech). **Removed: NFLX, MDB, FAF.** The count fell from **62 to 61**, continuing the compression McCullough cited as evidence of narrowing equity breadth.

## CRYPTO QUANT — BTC (-1.6%), MARA=NEUTRAL, ETFs +$1.1B W/W

Bitcoin Trend Tracker · Christian Drake, Josh Steiner, Matthew Cooper · 09/08 08:11 EDT (20:11 GMT+8)

**Bitcoin fell -1.6%** overnight and **MARA downgraded to NEUTRAL** from **BULLISH** on Friday. US spot **ETF flows were +$1.1B week-over-week**, a constructive offset. Anecdata covered **Crumbs** (a tokenized-equity loyalty concept), the **LAPTOP** theme, and the **Ethereum Foundation's Hegotá EIP** opinion post ahead of the next network upgrade.

## ETF PRO PLUS — 3 New ETF Pro Changes

ETF Pro Plus · 09/08 10:34 EDT (22:34 GMT+8)

Three new changes posted to the **ETF Pro Plus** dashboard, following **6 changes** on both 3 and 4 September — a high rate of turnover consistent with the Quad shift.

# PREVIOUS SESSION

*Friday 4 September US session. Note: Monday 7 September was US Labor Day — the only publication was the ETF Pro Plus weekly report, so the prior full research day is Friday.*

## EARLY LOOK — “#Quad2 Then #Quad2?”

Early Look · Keith McCullough · 09/04 07:40 EDT

- **What:** The flagship note announcing that **Hedgeye's Inflation Nowcast ticked higher for both September and October**, raising the probability of **back-to-back monthly #Quad2s** instead of a #Quad1 in September.
- **Why:** A **Quad 2** regime — accelerating growth and accelerating inflation — is the quad in which **bond yields rise the most**. Combined with **December and January also modelled #Quad2**, that is four Quad 2 months in five.
- **Who:** McCullough credits the quant team (**Drago, Steinbomber, Dr. Drake, Coop**) for the model re-runs; frames the note around **Ron Friedman's** book *Super Teams*.
- **Key numbers: High Beta Momentum (long semis / short software) has crashed -77% from its June #MOAB highs**; **Long AI Software vs. Short Semis (SMH) was +5.1%** on the day to **+17.9% over the last month**. Risk Ranges: **SPX 7632–7781**, **UST10Y 4.63–4.84**, **WTI 84.74–94.63**, **RUT 2917–3013 (still Bullish at that point)**.
- **Takeaway:** The Quad 2 playbook is explicit — **higher bond yields**, **Large Cap over Small Cap**, **High Beta over Low Beta**, **Secular Growth over Value**, **Cyclical Inflation over Defensives**, and continued underperformance from rate-sensitives like **Utilities (short XLU)** and **US Housing (ITB)**.

## THE MACRO SHOW — Summary Notes, Friday 4 September

The Macro Show · 09/04 11:48 EDT

- **What:** The show that set up Tuesday's net-short pivot, following a hawkish jobs print.
- **Why: Payrolls came in at 162K versus 55K expected** and well above the prior month's low number. Better jobs plus a higher CPI should push bond yields higher; McCullough expected bond managers to **front-run next week's CPI**.
- **Who:** McCullough and **Daryl Jones**. **Tier1 Alpha** flow estimates cited.
- **Key numbers: CPI Nowcast rose to 3.55%**, up **5–6bps** on the week on oil's return to three-month highs. **~$14bn of expected flow buying** hit that Thursday. **Snowflake (SNOW) is +106.4% since its initial signal** (bought 26 May).
- **Takeaway:** The **dollar travelled from the top to the bottom of its range in a single day**, prompting one of McCullough's **most aggressive single-day gold sales in a year**. **Turkey (TUR)** and **NOBL** were sold outright on trend breaks. **TLT remains the biggest short.** The core factor trade stays **long software / short semis**, with **zero semiconductor exposure**.

## FROM THE DESK — Macro Week Summary Notes, 4 September

From The Desk · 09/04 16:50 EDT

- **What:** The weekly wrap-up covering the Macro Dashboard, weekly macro commentary, **VIX Gauge**, **US Monthly Quad Forecast**, Chart of the Week and Market Insights.
- **Why:** Consolidates the week's Quad revisions into one reference ahead of the new week.
- **Who:** The Hedgeye research team, distributed to all subscribers.
- **Key numbers:** Full content sits behind the linked weekly PDF; the Quad forecast is the operative section given the September revision to **#Quad2**.
- **Takeaway:** Read alongside the Early Look — the Monthly Quad Forecast is where the Quad 2 sequencing through **January** is laid out.

## MOMO TRACKER — Mag7 (+2.4%), SNOW (+16.6%)

Momentum Stock Tracker · 09/04 08:04 EDT

- **What:** Momentum dashboard showing a strong mega-cap day.
- **Why:** Flow-driven; **Tier1 Alpha** projected heavy buying and the heaviest index weights absorbed the most of it.
- **Who: SNOW, TSLA and META all signalled BULLISH**; **Microsoft** and **Nvidia** led the market impact table.
- **Key numbers: Mag7 +2.4%**, **Snowflake +16.6%**.
- **Takeaway:** The **software versus semis** spread was the defining factor trade — and **TSLA has since flipped back to BEARISH** as of Tuesday, so this bullish read did not hold.

## SIGNAL STRENGTH STOCKS — 62 Stocks (4 Added, 8 Removed)

Signal Strength Stocks · 09/04 11:32 EDT

- **What:** Net reduction of four names, from **66 to 62**.
- **Why:** Trend deterioration in credit-bureau and consumer names as rate risk rose.
- **Who: Added: PBR, AR, WFC, RRC** — three energy/commodity names plus a bank. **Removed: TRU, AMZN, EFX, EXPGY, MCO, PM, ETSY, CXXIF.**
- **Key numbers:** Count moved **66** → **62** → **61** across three sessions.
- **Takeaway:** The adds are unmistakably **energy and rate-beneficiary** exposures; the removals are **data/credit-bureau (TRU, EFX, EXPGY, MCO)** and **consumer discretionary (AMZN, ETSY)** — a clean Quad 2 rotation in miniature.

## CRYPTO QUANT — BTC (-0.4%), MARA=BULLISH

Bitcoin Trend Tracker · 09/04 07:42 EDT

- **What:** Crypto dashboard with **MARA upgraded to BULLISH** (since downgraded to NEUTRAL on Tuesday).
- **Why:** Bitcoin bounced off the low end of its range as the dollar hit the bottom of its own.
- **Who: ZEC** reached four figures; **Robinhood Chain** and **Coinbase's move into US perpetuals** were the anecdata.
- **Key numbers: BTC -0.4%** overnight; **August closed +25%**.
- **Takeaway:** McCullough bought Bitcoin near the low end of the range earlier in the week but said he would **prefer another correction** before adding — he classifies **Bitcoin as a commodity based on its volatility attributes**.